

Cover Letter

2 October 2026

The Editor

Journal of Emerging Market Finance

Dear Editor,

I am pleased to submit the manuscript **“Expiry Moves the Close, Not the Day: Natural Experiments from India’s Changing Options Expiry Calendar”** for consideration as a research article in the *Journal of Emerging Market Finance*.

India’s index options market has grown rapidly, and a large share of its trading now takes place on the day contracts expire. Concern about expiry-day speculation led SEBI to restrict weekly expiries in November 2024, and in July 2025 it issued an interim order concerning alleged manipulation of index levels on expiry days. Whether expiry actually raises volatility in the underlying market has nevertheless not been established, because expiry falls on fixed weekdays and weekdays differ in volatility for other reasons.

The manuscript addresses this question with a natural-experiment design. Between 2016 and 2025 the Indian exchanges changed the expiry weekday of index options many times. Using these changes, holiday shifts and an expiry calendar verified against exchange contract files, the paper finds that expiry raises volatility over the trading day as a whole little, if at all. Volatility in the 15:00–15:30 window, whose average price set the settlement value, is 53–67% higher on expiry days, and this effect moves with the expiry weekday when the calendar changes. The effect remained large after SEBI’s 2024 measures.

I believe the paper fits the journal’s focus on research of practical significance for emerging financial markets. Its findings speak directly to the current policy debate in India on derivatives regulation and on the closing auction introduced in August 2026, and they are relevant to other emerging markets that are considering short-dated derivatives.

The manuscript is original, has not been published elsewhere and is not under consideration by another jour-

nal. The author has no conflicts of interest to declare and received no funding for this work. The code that reproduces all results is publicly available.

Thank you for considering this submission. I look forward to hearing from you.

Yours sincerely,

Vikash Yadav

Department of Computer Science and Engineering (Artificial Intelligence and Machine Learning)

Chandigarh University, Mohali, Punjab, India

vikashyadav123411@gmail.com